

tionary trend has continued right up to this day. Where do we stand with respect to the next monetary trend change?

The final sentence from the December 1979 analysis quoted at the outset of this chapter should prove to describe the experience of the next event as well as it did the last one. That “a major deflationary crash” now lies dead ahead is the whole point of this book (perhaps following one last brief inflationary scare in coming months, as outlined in Chapter 17). While the timing of the event is once again the least certain aspect of the forecast, the event itself is *highly* probable. As with so many past Elliott Wave forecasts, you are welcome to stop reading now, as the outlook presented those many years ago remains exactly as stated then. The rest of this chapter is simply an elaboration of a long-held opinion.

ANALYSIS

Is a tidal wave turn due in monetary phenomena once again? Before we examine the last two decades’ trends in the money supply, credit, prices and markets, it must be understood that the case for a tidal wave trend change in the monetary environment cannot be made solely by an examination of monetary trends or their effects. The question would remain, “What if those trends change tomorrow?” The only evidence that is *predictive* is that pertaining to the Wave Principle. Our forecast, then, relies upon the fact that stocks (see Figures 2-6 and 2-8), gold (see Figure 17-5), commodities (see Figure 18-5) and the economy (see Figure 13-23) are all in the process of completing major upward Elliott Wave patterns of 13 or 21 years’ duration. The only difference in these trends is that stocks and the economy are completing *impulsive* waves, while gold and commodities are completing upward *corrective* patterns. The high probability of a major decline thereafter in all four areas sends a strong one-word message: deflation. The extent of the deflation should be far greater than that of 1980-1982 and not unlike that of 1929-1932. It should break records in many markets, and maybe all markets. The rates of change in money growth, prices, investment markets and debt accumulation have no predictive value apart from this analysis, but are powerfully *compatible* with this outlook, as will now be demonstrated.

Change in the Money Supply

The single most important indicator of inflation is the rate of change in the money supply, as money supply growth is what infla-